

Statistical Computing

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Statistical Computing: What will we do?

Chapters

1. R in Action
2. Statistical Inference
3. Linear Models
4. Model Selection and Validation
5. Trees
6. Neural Nets

Remarks

- ▶ Chapters 3 to 6:
Statistical ML in Action
- ▶ Two weeks per chapter
- ▶ Exercises at end of chapter notes

Trees

Outline

- ▶ Decision Trees
- ▶ Random Forests
- ▶ Gradient Boosted Trees

Decision Trees

- ▶ Simple
- ▶ Easy to interpret
- ▶ Decision trees are like wolves:
Weak alone, strong together
- ▶ Around since 1984
(Breiman, Friedman)



<https://images.pexels.com/photos/3732527/pexels-photo-3732527.jpeg>

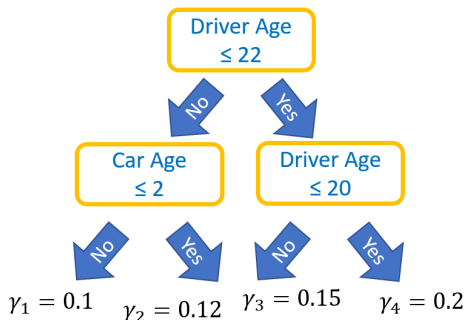
What is a Decision Tree?

Greedy recursive partitioning

1. Split: find best “yes/no” question on best feature to make total loss smaller
2. Apply Step 1 recursively

Predictions

- ▶ Follow splits and use leaf value γ_j
- ▶ Usually, γ_j is average response in leaf j
- ▶ Terminal regions $R_1, \dots, R_J$
- ▶ $\mathbf{x}$ falls in leaf $j \Leftrightarrow \mathbf{x} \in R_j$
- ▶ $\hat{f}(\mathbf{x}) = \sum_{j=1}^J \gamma_j \mathbf{1}\{\mathbf{x} \in R_j\}$



The tree does a headstand

Example

Properties of Decision Trees

- ▶ Outliers
- ▶ Missing values
- ▶ Categorical covariates
- ▶ Greedy
- ▶ Interactions
- ▶ Extrapolation
- ▶ Instability

Most properties are inherited to groups/ensembles of decision trees

From nearest neighbors to decision trees: Short video by Jerome Friedman:
<https://www.youtube.com/watch?v=8hupHmBVvb0>

Random Forests

- ▶ Combine many decision trees
- ▶ Perform very well
- ▶ Black Box
- ▶ Around since 2001 (Breiman)
- ▶ Why is combination of trees better than a single one?



<https://images.pexels.com/photos/1459534/pexels-photo-1459534.jpeg>

Ensembling and Bagging

Ensembling

- ▶ Combine multiple models (**base learners**) to single one
- ▶ Example: k -nearest-neighbor with different k
- ▶ Combined predictions have lower variance $\rightarrow$ better test performance (diversified stock portfolio, Bias-Variance Trade-Off)

Algorithm: Bagging (**B**ootstrap **a**ggregating)

1. Select B bootstrapped training data sets from the original training data
2. Fit models $\hat{f}^{*j}(\mathbf{x})$ on them
3. Return the bagged model $\hat{f}(\mathbf{x}) = \frac{1}{B} \sum_{j=1}^B \hat{f}^{*j}(\mathbf{x})$

Example

Bias-Variance Trade-Off

Decomposition of generalization error:

$$\underbrace{\mathbb{E}(y_o - \hat{f}(x_o))^2}_{\text{Expected test MSE of } x_o} = \text{Var}(\hat{f}(x_o)) + \left[\text{Bias}(\hat{f}(x_o)) \right]^2 + \underbrace{\text{Var}(\varepsilon)}_{\text{Irreducible error}}$$

(Introduction to Statistical Learning)

- ▶ One specific observation (y_o, x_o)
- ▶ Expectations and variances over large number of training sets
- ▶ Bias: Error introduced by approximating true model by f
- ▶ Low bias $\leftrightarrow$ high variance $\rightarrow$ Bias-Variance Trade-Off
- ▶ Bagged decision trees: low bias (why?) and low variance

Remarks on Bagging

- ▶ Works best with unstable base learners → deep decision trees
- ▶ Out-of-bag (OOB) validation
- ▶ Parallel computing
- ▶ Performance versus complexity

From Bagging to Random Forests

A random forest is a bagged decision tree with an extra twist

Twist

- ▶ Additional source of randomness
- ▶ Each split considers only random feature subset (often $p/3$ or $\sqrt{p}$)
- ▶ Additional decorrelation $\rightarrow$ stronger diversification

Algorithm: Random forest (regression)

1. Select B bootstrapped training data sets from the original training data
2. Fit (usually deep) decision trees $\hat{f}^{*j}(\mathbf{x})$ on these. For each split, consider only random feature subset
3. Return the random forest $\hat{f}(\mathbf{x}) = \frac{1}{B} \sum_{j=1}^B \hat{f}^{*j}(\mathbf{x})$

Comments on Random Forests

- ▶ Number of trees
- ▶ Deep trees
- ▶ Don't trust performance on training set → OOB performance
- ▶ Parameter tuning

Regarding **parameter tuning**: Short video by Adele Cutler on working with Leo Breiman: https://www.youtube.com/watch?v=t8ooi_tJHSE

Example

Interpreting a Black Box

Study

1. Performance
2. Variable importance
3. Effects

XAI

- ▶ e**X**plainable **A**rtificial **I**ntelligence
- ▶ Collection of methods to interpret models
- ▶ Examples: Split-gain importance, ICE, PDP

Example

- ▶ Split gain importance of random forest
- ▶ Variable importance and linear regression?

Individual Conditional Expectation (ICE)

Basic thinking

- ▶ In **additive** linear model f , the effect of $X^{(j)}$ is fully described by its coefficient(s)
- ▶ It describes how f reacts on changes in $X^{(j)}$ (Ceteris Paribus)
- ▶ What if model involves complex interactions?

Idea (Goldstein et al., 2015)

- ▶ Study (Ceteris Paribus) effect of $X^{(j)}$ for **one** observation
- ▶ *ICE function* for feature $X^{(j)}$ of model f and observation $\mathbf{x} \in \mathbb{R}^p$

$$\text{ICE}_j : v \in \mathbb{R} \mapsto f(v, \mathbf{x}_{\setminus j})$$

- ▶ $\mathbf{x}_{\setminus j}$ denotes all but the j -th component of $\mathbf{x}$, which is replaced by v
- ▶ *ICE curve* represents graph $(v, \text{ICE}_j(v))$ for grid of values $v \in \mathbb{R}$

ICE Plot: Visualize ICE Curves of many Observations

Example

Notes

- ▶ Curves with different shapes indicate interaction effects
- ▶ Parallel curves $\Leftrightarrow$ additivity in $X^{(j)}$
- ▶ Centered ICE plots
- ▶ Usually on link scale (why?)

Pros and Cons

- + Simple to compute
- + Easy to interpret (Ceteris Paribus)
- + Gives impression about interactions
- Ceteris Paribus can be unnatural
- Model applied to rare/impossible $\mathbf{x}$

Partial Dependence Plot PDP (Friedman 2001)

- ▶ Average of many ICE curves
- ▶ Ceteris Paribus effect of $X^{(j)}$ averaged over all interaction effects
- ▶ (Empirical) partial dependence function of j -th feature

$$\text{PD}_j(v) = \frac{1}{n} \sum_{i=1}^n \hat{f}(v, \mathbf{x}_{i, \setminus j})$$

- ▶ $\mathbf{x}_{i, \setminus j}$ feature vector of i -th observation without j -th component
- ▶ PDP equals graph $(v, \text{PD}_j(v))$ for grid of values $v \in \mathbb{R}$
- ▶ Sum runs over reference data (=?)
- ▶ Pros/cons similar to ICE, but no info on interaction

Example

Gradient Boosted Trees

- ▶ Combine many decision trees
- ▶ Perform very well
- ▶ Black Box
- ▶ Around since 2001 (Friedman)

} Like random forests



<https://www.gormananalysis.com/blog/gradient-boosting-explained/>

Boosting

Basic idea of boosting (e.g., Schapire, 1990)

1. Fit simple model $\hat{f}$ to data
2. For $k = 1, \dots, K$ do:
 - a. Find simple model $\hat{f}^k$ that corrects the mistakes of $\hat{f}$
 - b. Update: $\hat{f} \leftarrow \hat{f} + \hat{f}^k$

How to find updates $\hat{f}^k$?

Use decision trees $\rightarrow$ **boosted trees**

- ▶ Use reweighting heuristic for binary classification
 $\rightarrow$ AdaBoost (Freund and Schapire, 1995)
- ▶ Reduce total loss $Q(\hat{f} + \hat{f}^k) = \sum_{i=1}^n L(y_i, \hat{f}(\mathbf{x}_i) + \hat{f}^k(\mathbf{x}_i))$
 $\rightarrow$ **Gradient boosting** (Friedman, 2001)

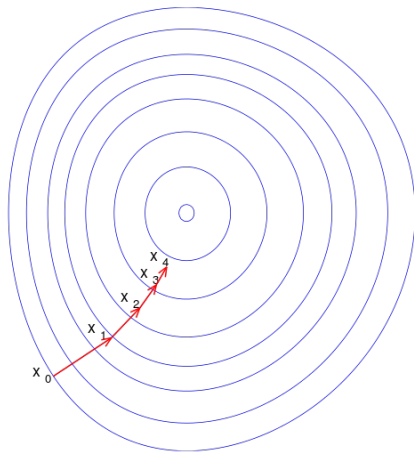
Gradient Descent

Minimize function $h : \mathbb{R}^n \rightarrow \mathbb{R}$

1. Start at some value $\hat{x} \in \mathbb{R}^n$
2. Repeat: $\hat{x} \leftarrow \hat{x} - \lambda g$
 - ▶ $\lambda > 0$: Step size or learning rate
 - ▶ Gradient $g \in \mathbb{R}^n$ of h at $\hat{x}$:

$$g = \left[\frac{\partial h(x)}{\partial x} \right]_{x=\hat{x}}$$

- ▶ g points in direction of steepest ascent



https://en.wikipedia.org/wiki/Gradient_descent

Gradient Boosting

Gradient descent of $Q(f)$

- ▶ $Q(f) = \sum_{i=1}^n L(y_i, f(\mathbf{x}_i))$
- ▶ $f = (f(\mathbf{x}_1), \dots, f(\mathbf{x}_n)) \in \mathbb{R}^n$

1. Start at some value $\hat{f}$
2. Repeat: $\hat{f} \leftarrow \hat{f} - \lambda g$ with

$$g = \left[\frac{\partial Q(f)}{\partial f} \right]_{f=\hat{f}}$$

having components

$$g_i = \left[\frac{\partial L(y_i, f(\mathbf{x}_i))}{\partial f(\mathbf{x}_i)} \right]_{f(\mathbf{x}_i)=\hat{f}(\mathbf{x}_i)}$$

For squared error?

- ▶ $L(y, z) = (y - z)^2/2$
- ▶ Plugging in: $g_i = -\underbrace{(y_i - \hat{f}(\mathbf{x}_i))}_{\text{Residual } r_i}$
- ▶ Repeat: $\hat{f}(\mathbf{x}_i) \leftarrow \hat{f}(\mathbf{x}_i) + \underbrace{\lambda r_i}_{\hat{f}^k?}$

Boosting with $\hat{f}^k = -\lambda g_i$? Now way...

1. y_i unknown in application
 2. Should work for all $\mathbf{x}$
- replace $-g_i$ by predictions of tree

Gradient Boosted Trees for Squared Error Loss

Algorithm

1. Initialize $\hat{f}(\mathbf{x}) = \frac{1}{n} \sum_{i=1}^n y_i$
2. For $k = 1, \dots, K$ do:
 - a. For $i = 1, \dots, n$, calculate residuals $r_i = y_i - \hat{f}(\mathbf{x}_i)$
 - b. Model the r_i as a function of the $\mathbf{x}_i$ by fitting a regression tree $\hat{f}^k$
 - c. Update: $\hat{f}(\mathbf{x}) \leftarrow \hat{f}(\mathbf{x}) + \lambda \hat{f}^k(\mathbf{x})$
3. Output $\hat{f}(\mathbf{x})$

General loss functions?

- ▶ Replace residuals by negative gradients of loss function
- ▶ Leaf values might be suboptimal $\rightarrow$ replace by optimal values

Gradient Boosted Trees for General Losses

1. Initialize $\hat{f}(\mathbf{x}) = \operatorname{argmin}_{\gamma} \sum_{i=1}^n L(y_i, \gamma)$
2. For $k = 1, \dots, K$ do:
 - a. For $i = 1, \dots, n$, calculate negative gradients (pseudo-residuals)

$$r_i = - \left[\frac{\partial L(y_i, f(\mathbf{x}_i))}{\partial f(\mathbf{x}_i)} \right]_{f(\mathbf{x}_i) = \hat{f}(\mathbf{x}_i)}$$

- b. Model r_i as function of $\mathbf{x}_i$ by regression tree $\hat{f}^k$ with terminal regions $R_1, \dots, R_J$
- c. For each $j = 1, \dots, J$, use line-search to find the optimal leaf value

$$\gamma_j = \operatorname{argmin}_{\gamma} \sum_{\mathbf{x}_i \in R_j} L(y_i, \hat{f}(\mathbf{x}_i) + \gamma)$$

- d. Update: $\hat{f}(\mathbf{x}) \leftarrow \hat{f}(\mathbf{x}) + \underbrace{\lambda \sum_{j=1}^J \gamma_j \mathbf{1}\{\mathbf{x} \in R_j\}}_{\text{modified tree}}$

3. Output $\hat{f}(\mathbf{x})$

Remarks

- ▶ Predictions are sum of short decision trees (with modified leaf values)
- ▶ Random forest: average of deep trees
- ▶ How to select learning rate λ , number of trees K , ...?
- ▶ (AdaBoost is gradient tree boosting with exponential loss)

Example

Illustration of the boosting process

Modern Implementations

Timeline

1. XGBoost (2014)
2. LightGBM (2016)
3. CatBoost (2017)

Example

Differences to Friedman's original

- ▶ Use of second order gradients
→ no line-search necessary
- ▶ Histogram binning
→ speeds up tree growth
- ▶ Penalized objective function

Parameter Tuning is Essential

1. Number of boosting rounds/trees K
→ find by early stopping (validation/CV)
2. Learning rate λ
→ to get reasonable number of rounds
3. Regularization
 - ▶ Tree depth, number of leaves, loss penalties, etc.
 - ▶ → Grid/Randomized search and iterate process

Example

- ▶ XGBoost
- ▶ LightGBM

Comments

- ▶ Why not one big grid search on all parameters?
- ▶ Objective/metrics